

or emotional attachment to, the company. They cannot contextualize these stalwart stocks as risky investments. However, dozens of once-iconic names in U.S. business—AT&T, for example—have declined or vanished.

Certainty Overconfidence

People display certainty overconfidence in everyday life situations, and that overconfidence carries over into the investment arena. People tend to have too much confidence in the accuracy of their own judgments. As people find out more about a situation, the accuracy of their judgments is not likely to increase, but their confidence does increase, as they fallaciously equate the quantity of information with its quality. In a pertinent study, Baruch Fischhoff, Paul Slovic, and Sarah Lichtenstein gave subjects a general knowledge test and then asked them how sure they were of their answer. Subjects reported being 100 percent sure when they were actually only 70 percent to 80 percent correct.² A classic example of certainty overconfidence occurred during the technology boom of the late 1990s. Many investors simply loaded up on technology stocks, holding highly concentrated positions, only to see these gains vanish during the meltdown.

Implications for Investors

Both prediction and certainty overconfidence can lead to making investment mistakes. Below we list four behaviors, resulting from overconfidence bias, that can cause harm to an investor's portfolio. Advice on overcoming these behaviors follows the diagnostic test later in the chapter.

RESEARCH REVIEW

Numerous studies analyze the detrimental effects of overconfidence by investors, but the focus here is on one landmark work that covers elements of both prediction and certainty overconfidence. Professors Brad Barber and Terrance Odean, when at the University of California at Davis, studied the 1991 to 1997 investment transactions of 35,000 households, all holding accounts at a large discount brokerage firm, and they published their results in a 2001 paper, "Boys Will Be Boys: Gender, Overconfidence, and Common Stock Investment."³ Barber and Odean were primarily interested in the relationship between overconfidence as displayed by both men and women and the impact of overconfidence on portfolio performance.